

What Are Reasonable Spending Patterns for Retirees?

An important simplifying assumption in William Bengen's research is that retirees spend constant inflation-adjusted amounts throughout retirement. This behavior may be at odds with the actual spending patterns of many retirees. An exploration of the data should give us an idea of how people actually change their spending during retirement.

A well-known early example of spending changes over time for retirees can be found in Michael Stein's 1998 book, *The Prosperous Retirement: Guide to the New Reality*. Stein says retirement happens in three phases, popularly known as the Go-Go, Slow-Go, and No-Go years of retirement. He found retirement spending to be greatest in the early active phase of retirement through age seventy-five. In these Go-Go years, discretionary expenses for things such as travel and restaurants are high, and retirement spending tends to keep pace with inflation. Between the ages of seventy-five and eighty-five, retirees enter a transition phase (Slow-Go) in which they become less active and reduce discretionary expenditures. Spending no longer keeps pace with inflation and may even decline on a nominal basis. Finally, after age eighty-five, retirees enter the No-Go years, which are signified by a much more modest spending budget whose growth will generally also trail consumer price inflation.

The idea that spending declines throughout retirement obtained further support in an article Ty Bernicke published in the June 2005 issue of the *Journal of Financial Planning* called "Reality Retirement Planning: A New Paradigm for an Old Science." Bernicke used evidence from the Consumer Expenditure Survey (CES) to show that those aged seventy-five and older spend less than those aged sixty-five to seventy-four, who in turn spend less than those aged fifty-five to sixty-four (these are population-wide averages by age group). To account for spending decreases, Bernicke described a tug-of-war for retirees: though their spending increases over time with inflation, they voluntarily spend less as they age. For instance, retirees may lose the desire or ability to go on vacations or restaurants as they age, resulting in fewer expenditures.